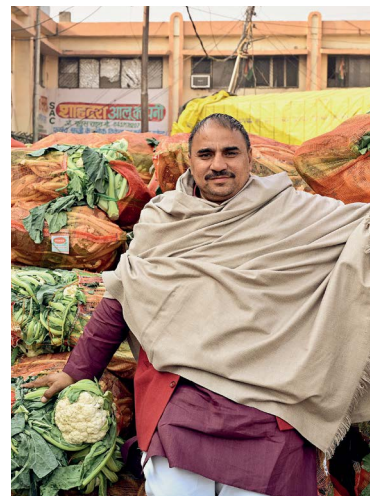
HOW IT TRANSFORMED MY LIFE

"Before loading my crop, I know the price in other mandis"

It was a chance conversation in July last year with fellow farmer Pramod Tyagi that led to Ram Niwas Yadav switching to eNAM. The eldest of three brothers, Yadav does collective farming growing vegetables on a 10-acre spread in Shahpur village. For his cauliflower and carrots, he uses the eNAM facility at the Sahibabad mandi. "Even before loading my crop, I am sure of the prevailing prices in other mandis. This not only improves my ability to secure better dividends, but also trims my logistics costs," he says. "In my local wholesale mandi, cauliflower is going for Rs 2-3 a kg, whereas in markets in Rajasthan or sometimes in Madhya Pradesh or Maharashtra, you see much better prices.... I took a crash course from Tyagi and his sons about eNaM. They were already using it and making more money through this." Yadav says it has eased his life as he doesn't have to take the produce to the local market or depend entirely on the bids made by traders there. "The feeling is gradually sinking in that I am the owner of my crop," says Yadav, smiling. "There is no better feeling for a farmer." ■



RAM *NIWAS YADAV, 46*
Farmer, Shahpur, Ghaziabad

unfair practices such as whimsical quality assessments. The farmer couldn't even complain when his payouts were delayed. Such was the ground reality that it nearly forced the concept of digitalised and inter-connected mandis.

THE EASE OF LIVING

The eNAM (National Agriculture Market) initiative resolved several long-standing challenges. First, it created a pan-India online trading platform, allowing farmers to access buyers across the country, enabling better price discovery. At present, the eNAM integrates 1,389 mandis across 27 states (of the total 7,000-odd in the country). In the next five years, 1,500 more mandis are likely to be integrated into the system.

The farmers can now get the Warehousing and Electronic Negotiable Warehouse Receipt (e-NWR), which is a trading instrument that allows the transfer of ownership of commodities without having to move the physical goods. These receipts are the only eligible instruments to be traded on the eNAM platform through registered warehouses. There are complexities here as well, as the private sector is not coming forth to construct enough warehouses, and the farmers don't have the wherewithal to hold the crops. However, financial institutions are working out mechanisms to consider these receipts as collateral, allowing farmers more leeway to use financial markets and enhance their stockholding capacities. Mohini Mohan Mishra, general secretary of the trade union outfit, Bharatiya Kisan Sangh, says, "The eNAM is a good move to build farmer capacities. It brings ease. But it needs lots of augmentation. It has to empower the farmer to trade the commodities he grows with much more freedom."

Price discovery at the online auctions is transparent, so the farmer has a fair chance of getting market rates for his produce

The eNAM comes with lots of benefits, especially since farmers can now sell beyond their local mandis without the need to physically transport goods. Price discovery at the online auctions is transparent and based on quality and demand, which gives farmers a fair chance of getting the market price. They can also access real-time price information for commodities via the eNAM portal and mobile app.

Once the digital infrastructure is embedded, a lot of auxiliary benefits will also start pouring in, such as the system for commodity grading and standardisation. The uniform quality parameters were established to ensure fair and objective valuation; secondly, digital payments were set up along with mandatory linking of ownership (or contracts, if the state government has legal provisions) to ensure that remuneration goes directly to the farmers. This not only cuts the high transaction costs, it also gets rid of intermediary inefficiency. Above all, the digital penetration and interactive markets allow farmers to work out remote participation in trading, enabling them to sell their produce without the need to transport it until a sale is confirmed. ■